

Japan Viewpoint

Inflation distortions ahead: Fiscal support and rebasing effects

Inflation distortions from policy support measures

In 2025, certain policy measures served as temporary idiosyncratic factors in the CPI. Subsidies for electricity and gas implemented in 1Q and again during the summer, the effective elimination of public high-school tuition from April, and Tokyo government's waiver of basic water charges over the summer all acted to suppress Japan's core CPI.

Sharp inflation drag again in 1H 2026

Multiple government support measures are also scheduled for 2026. Gasoline tax cuts and the resumption of electricity and gas subsidies will lower Japan-style core CPI (ex. fresh food) by nearly 0.6ppt in February–March. With subsidies ending, from April the free-education measures will continue to weigh on core CPI (Exhibit 1). Coupled with negative base effects in food prices, we expect Japan-style core CPI to decelerate markedly from the latest +2.4% YoY to around +1.5% over the next few months.

Minor tweak to our forecasts: CY26 core CPI at 1.6%

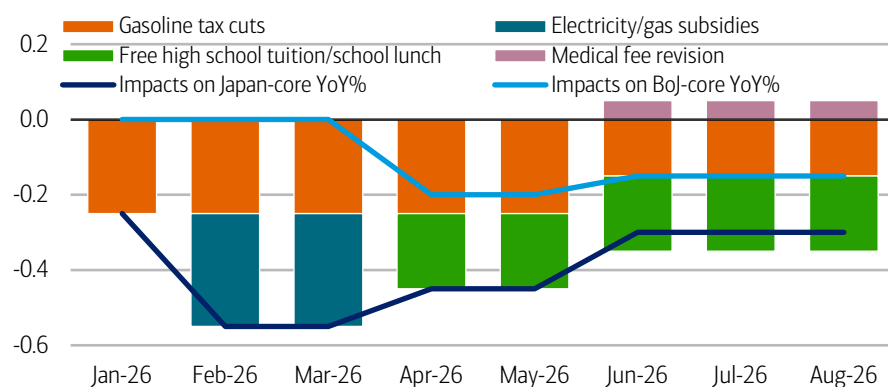
As our baseline already incorporated policy support, the new forecast only reflects minor adjustments from updated policy details. We now forecast Japan-style core CPI to be average +1.6% YoY in CY26 and +2.1% in CY27 (previous: +1.7% and +2.1%).

CPI rebasing is a key focus in 2H

A key focus in the second half will be the five-year CPI rebasing. We expect weights to rise for food and imputed rent and to fall for mobile phone charges. Retroactive revisions will likely push up the measured inflation rate for 2025, while we currently see a limited impact on 2026 inflation.

Exhibit 1: Government support measures will significantly push down inflation in 1H 2026

Impact of government support measures on CPI YoY (ppt to YoY %, rough estimate by BofA)



Source: BofA Global Research

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Following the extraordinary Diet session at the end of last year, which approved both the bill to abolish the provisional gasoline tax and the FY25 supplementary budget, the government has begun implementing its measures to ease the rise in living costs (see [New stimulus under the new PM's expansionary fiscal stance 21 November 2025](#)). As a result, (1) support for electricity and gas bills and (2) the abolition of the provisional gasoline tax will have a significant effect on energy CPI.

1) Electricity/gas subsidies: a 0.3ppt drag in Feb–Mar

The electricity and gas subsidy program, which has been repeatedly paused and resumed, is to be restarted in January–March 2026, providing monthly support of ¥3,000 in January–February and ¥1,000 in March (roughly ¥7,000 in total). Because the CPI reflects utility bills with about a one-month lag, lower electricity prices (nationwide CPI weight = 3.41%) and gas prices (0.94%) should push down Japan-style core CPI level by roughly 0.6ppt in February–March and about 0.2ppt in April. As the same program was in place a year earlier, the YoY impact should be about –0.3ppt in February–March and roughly 0.0ppt in April (Exhibit 2).

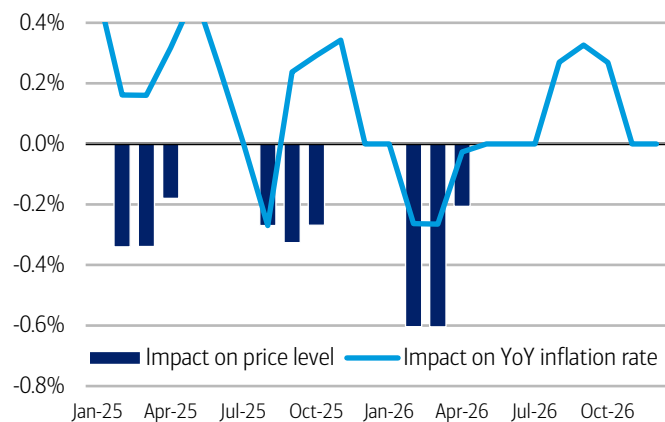
Because the program also ran in July–September 2025, the absence of subsidies in summer 2026 would mechanically lift the YoY inflation rate via base effects. Given recent precedents, however, the risk of a renewed summer program is high.

2) Gasoline tax cut: a 0.2–0.3ppt drag in Jan–May

The provisional ¥25.1/liter gasoline tax rate that had been in place since 1974 was abolished at end-2025¹ (see [Another tax cut: Rising chance of gasoline tax cut from Apr '26 17 July 2025](#)). Based on recent unsubsidized gasoline prices (¥183.7/liter) and after accounting for the flat subsidy (¥173.7/liter) through mid-November, the abolition implies price declines of about 14% and 9%, respectively. We estimate this will lower the level of Japan-style core CPI by around 0.2–0.3ppt, translating into a YoY drag of 0.2–0.3ppt in January–May and about 0.1–0.2ppt from June onward (Exhibit 3).

Exhibit 2: Electricity and gas subsidies will lower the core CPI level by 0.6 ppt and the YoY% by 0.3 ppt in Feb–Mar

Impact of electricity and gas subsidies on core CPI (ppt)

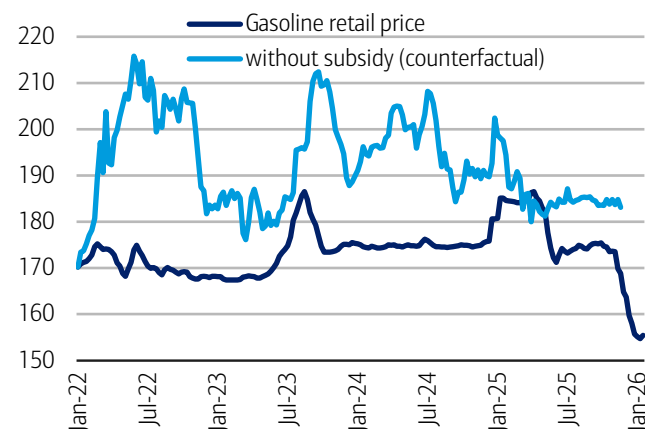


Source: BofA Global Research; MIC

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Exhibit 3: Gasoline tax cut will lower core CPI YoY% by 0.2-0.3 ppt

Gasoline average price (JPY/liter, regular gasoline, nationwide)



Source: BofA Global Research, METI (Agency for Natural Resources and Energy)

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3) Free high-school tuition/school lunch: a 0.2ppt drag from April onward

Assuming the government's initial FY26 budget proposal, released at the end of last year, is approved by the Diet, the effective free tuition fee policy for private high schools and the free school lunch program for elementary schools will be implemented (see

¹Due to transitional measures, the subsidies were expanded from mid-November, and the effective impact on CPI has been present since December 2025.



[FY26 tax reforms and budget: Temporary relief from fiscal concerns 09 January](#)

Although the lower house election will likely delay the passage of the initial budget until April or later, the government intends to realize the free tuition fee policy and free school lunch program at an early stage, potentially including these measures into a provisional budget.

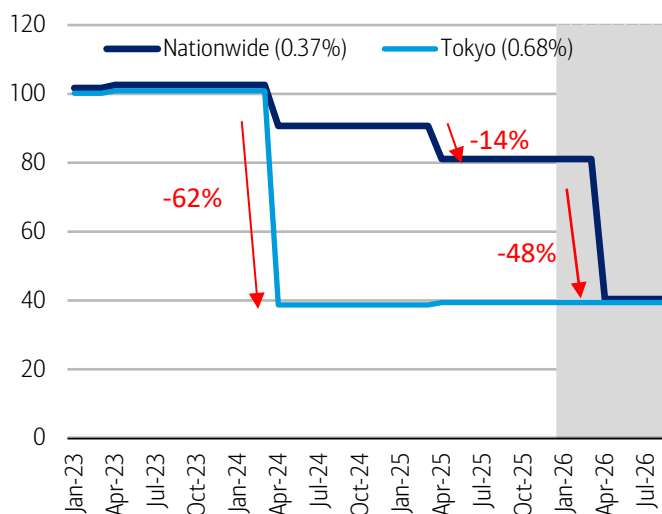
Assuming an April start, sharp declines in private high-school tuition² (0.37% CPI weight) and elementary school lunch fees (0.17%) would lower Japan-style core CPI level by roughly 0.4ppt (Exhibit 4, see [February CPI: Food inflation to continue; Impact of free high school tuition policy 28 February](#)). As the impact of last April's public high-school tuition measure fades, the net impact should be about -0.2ppt YoY.

4) Medical fee revision: modest uplift from June

In June the biennial medical fee revision is to raise the base portion by 3.09% (drug price revisions take effect in April); after a 0.86% cut in drug prices, the overall revision is +2.22% (Exhibit 5). Through higher medical fees (2.29% CPI weight), this should lift the CPI from June, although the CPI's medical category is calculated by age bracket and includes items such as meal and living expenses during hospitalization in addition to treatment and pharmaceuticals. Consequently, there is considerable uncertainty around the CPI impact. If we simply assume a uniform 2.22% price increase, the level and YoY of Japan-style core CPI would each be pushed up by about 0.05ppt.

Exhibit 4: Free high school tuition and school lunch programs will likely lower core CPI YoY% by 0.2 ppt

Private high school fees (2020=100)

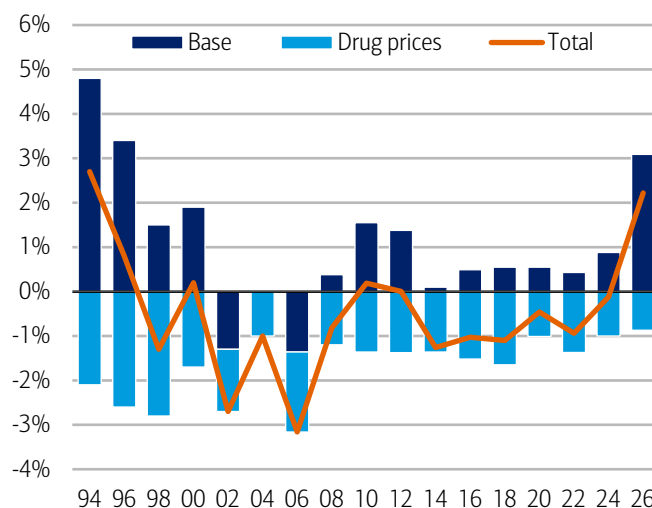


Source: BofA Global Research, MIAC *Numbers in parentheses shows weights

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Exhibit 5: A substantial increase in medical fees is scheduled for the new fiscal year

Historical trend of medical fee revisions



Source: BofA Global Research

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Minor tweak to our forecasts: core CPI to slow sharply

Reflecting the above distortions and the latest price developments, we have updated our inflation forecasts. Because our baseline already included electricity/gas subsidies, abolition of the provisional gasoline tax, and free tuition/lunch policies, revisions are limited. However, we mark down energy CPI in 1Q26 on larger-than-assumed subsidies and earlier implementation of the gasoline tax cut. We now forecast Japan-style core CPI at +1.6% YoY in CY26 and +2.1% in CY27 (Exhibit 6; previous: +1.7% and +2.1%). From +2.4% YoY in December, Japan-style core CPI is expected to decelerate to around +1.5% over the next few months.

² Because the tuition category in the CPI includes charges such as admission fees, the index does not fall to zero even under policies that make tuition effectively free.

However, our view on BoJ-style core CPI (ex. fresh food and energy) is largely unchanged. We expect it to dip below 2% through around mid-2026 on negative base effects in food, then re-accelerate and stabilize around 2% in 2HCY26 as increases in service prices and yen depreciation push inflation higher (Exhibit 7 and Exhibit 8, see [Year Ahead 2026: Steady growth, gradual rate hikes 26 November 2025](#)).

Exhibit 6: Minor tweak to our inflation forecast: Core CPI growth to slow sharply

Inflation forecasts by BofA, the Bank of Japan, and market consensus

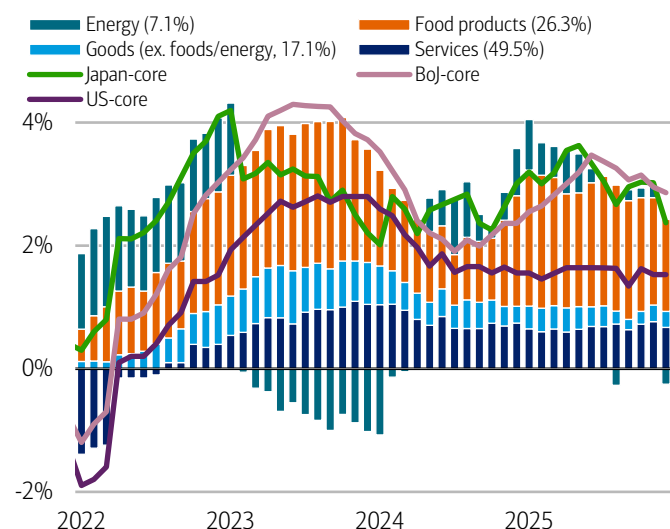
	Japan-style core CPI*				BoJ-style core CPI**			
	BoJ f'casts	Consensus	BofA forecasts		BoJ f'casts	Consensus	BofA forecasts	
	(23 Jan)	(9 Jan)	New (6 Feb)	Old (23 Nov)	(23 Jan)	(9 Jan)	New (6 Feb)	Old (23 Nov)
CY								
2025	-	3.1	3.1	3.1	-	3.0	3.0	3.0
2026	-	1.8	1.6	1.7	-	2.1	1.9	1.9
2027	-	1.9	2.1	2.1	-	2.0	2.1	2.0
FY								
2025	2.7	2.8	2.7	2.8	3.0	3.0	2.9	2.9
2026	1.9	1.8	1.8	1.7	2.2	2.0	1.8	1.8
2027	2.0	1.9	2.0	1.9	2.1	2.0	2.1	1.9

Source: BofA Global Research, Bloomberg, Bank of Japan * Excluding fresh food ** Excluding fresh food and energy

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Exhibit 7: Food prices have significantly driven up inflation growth

CPI decomposition (yoy%)

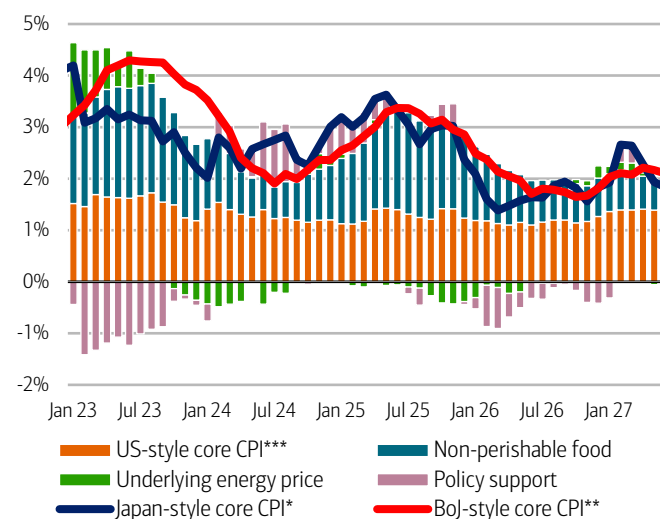


Source: BofA Global Research, MIAC *figures in parentheses indicate CPI weights *Japan-style core = CPI ex fresh food, **BoJ-style core = CPI ex fresh food & energy, ***US-style core = CPI ex food & energy

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Exhibit 8: Core CPI growth to slow sharply

Factors driving changes in Japan-style core inflation (CPI ex fresh food)



Source: BofA Global Research, MIAC Note: BofA forecasts based on our FX and commodity team's forecasts; Underlying energy price removes distortions from government subsidies and other idiosyncratic factors affecting the energy CPI *Japan-style core = CPI ex fresh food, **BoJ-style core = CPI ex fresh food & energy, ***US-style core = CPI ex food & energy

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Five-year CPI rebasing will be the key focus in 2H

The biggest focus in the second half of 2026 should be the CPI rebasing. This is a five-year recurring update in which Japan revises the CPI base year and item weights, and past inflation figures are also revised retroactively based on the new standard. Except for 2015, past rebasings have generally resulted in sizable downward revisions to CPI (Exhibit 9).

The overall CPI impact of this rebasing is not yet known. The CPI weights are expected to be adjusted as described later, reflecting the 2025 consumption expenditure share. However, the overall impact of the rebasing including other revisions, will only be clear with the summer releases.



Main contents and schedule for the 2025-base year revision

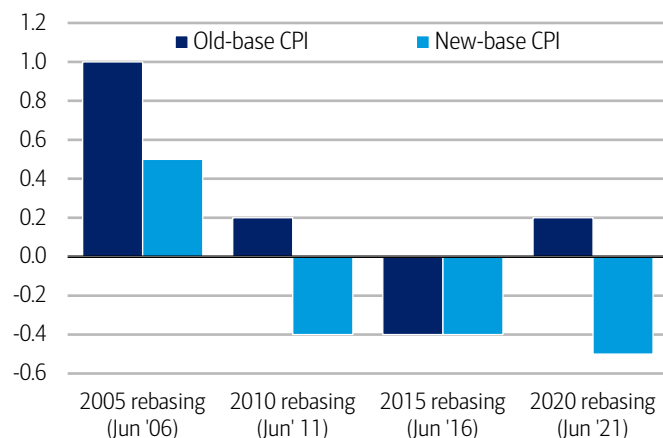
According to the “2025 base-year revision plan” released by the Ministry of Internal Affairs and Communications (MIC) released last November, the main elements of the CPI rebasing are as follows.

- Revisions to CPI reference period and weights:** The index reference period (annual period for which the index is set to 100) is to change from 2020 to 2025. The basis of weightings for each item in the CPI are to also change from average household expenditure amounts for 2019-20 to average amounts for 2025.
- Revision to CPI Items:** Nineteen items are to be newly added, eleven items will be removed, and two items will be consolidated into one (see Exhibit 13). Certain item names are to be updated to reflect current usage.
- Wider use of POS data:** Amid growth in online shopping in recent years, the CPI is to expand its use of point-of sales (POS) data.
- Model revisions:** For items with complex pricing structures such as airfares, electricity bills and mobile phone service fees, the model formulas used to compute prices are to be revised. The target items and the CPI impact are yet unknown.

The 2025-base methods are to take effect from the July nationwide CPI (released on 21 August). Ahead of this release, MIC aims to publish materials for the 2025 base CPI, including weights and model specifications, roughly one month in advance (late July), followed by the publication of retroactive estimates for January 2025 through June 2026 about one week prior to the July CPI release (mid-August).

Exhibit 9: Except for 2015, past rebasings have generally resulted in sizable downward revisions to CPI

Revisions to CPI inflation rates in past rebasings (yoy%)



Source: BofA Global Research; MIC

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Exhibit 10: Higher weights for food and rents; lower weights for mobile phone charges

Weight comparison of major categories

	2020	2025	New-Old
Japan-style core CPI*	96.04%	96.24%	+0.20%
BoJ-style core CPI**	88.92%	88.82%	-0.10%
Energy	7.12%	7.43%	+0.31%
Food	26.26%	27.28%	+1.02%
Fresh food	3.96%	3.76%	-0.20%
Non-perishable food	22.30%	23.53%	+1.23%
Durables	6.73%	6.90%	+0.17%
Semi-durables	6.96%	6.34%	-0.62%
Non-durables***	36.77%	36.96%	+0.19%
Services	49.54%	49.80%	+0.26%
Imputed rent	15.80%	16.68%	+0.88%
Services ex. imputed rent	33.75%	33.13%	-0.62%

Source: BofA Global Research, MIAC *excluding fresh food **excluding fresh food and energy

***including food (ex. dining-out) and energy

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Weight changes: rising for food and rents; falling for mobile phone charges

While the effect of model formula changes is uncertain, we estimated new CPI weights based on 2025 Family Income and Expenditure Survey, following the “2025 base-year revision plan.”

Weights for food are likely to rise on increased spending amid food price inflation, especially for rice and dining out (see [Structural supply-side issues to prolong food inflation 18 March 2025](#)). Given the gradual increase in rents since 2020, imputed rent

should also gain weight. We also expect higher weights for categories that saw large price increases such as automobiles, hotel charges and electricity.

Conversely, mobile phone charges should see a notable weight decline reflecting the government-led price cuts in 2021; Some apparel items, water & sewerage and TV license fees will likely fall as well (Exhibit 11).

Exhibit 11: Higher weights for food and rents; lower weights for mobile phone charges

Categories whose weights are expected to change significantly

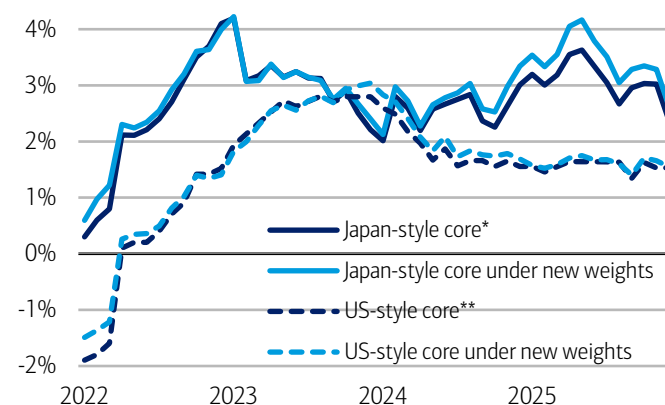
	2020	2025	New-Old
Imputed rent	15.80%	16.68%	+0.88%
Dining out (private)	4.34%	4.89%	+0.55%
Automobiles	2.24%	2.62%	+0.38%
Rice	0.62%	1.00%	+0.38%
Hotel charges	0.81%	1.16%	+0.35%
Cooked food	3.52%	3.87%	+0.35%
Electricity	3.41%	3.72%	+0.31%
Cakes & candies	2.36%	2.64%	+0.28%
Mobile phones (handset)	0.90%	0.72%	-0.18%
Women's clothing	0.81%	0.62%	-0.19%
Water & sewerage charges	1.63%	1.43%	-0.20%
Charges for TV license	0.81%	0.60%	-0.21%
Telephone charges (fixed-line phone)	0.55%	0.32%	-0.23%
Other miscellaneous	2.33%	2.06%	-0.27%
Telephone charges (mobile phone)	2.71%	2.16%	-0.55%

Source: BofA Global Research, MIC

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Exhibit 12: With food inflation impact intensifying, the average Japan-style core CPI in 2025 will be revised up to +3.5%

Core CPI: comparison between old weights and new weights



Source: BofA Global Research, MIAC (New weights are based on BofA estimates) *Ex. fresh food
**Ex. food (ex. alcoholic beverages) and energy

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Amplified impact from last year's food inflation, but limited impact on this year's outlook

Based on our derived new weights, we recalculated CPI figures from 2022 onward. With food as the main driver, the average Japan-style core CPI for 2025 would be revised up further from +3.1% YoY to roughly +3.5%.

For US-style core CPI (ex. food and energy), the decline in the mobile-phone weight (after last year's price hikes due to new plans) would be broadly offset by a higher weight for largely flat rents, leaving the YoY rate around +1.6%.

While higher food weights amplify the impact of last year's food inflation, we expect only a limited effect on the 2026 inflation outlook. Food prices have stabilized; absent a renewed flare-up in the coming months, their contribution to inflation should gradually diminish ([January CPI: Ongoing drag from negative base effects 30 January](#)).

However, over a longer horizon, a further rise in the food weight implies that structural cost pressures in the agricultural sector will have a stronger footprint in CPI (see [Structural supply-side issues to prolong food inflation 18 March 2025](#)). And given Japan's increasing dependence on imported food, the pass-through from the FX movements to CPI via import prices will become even larger (see report "Yen's decline: Structural drivers and policy responses," 10 July 2024).



Appendix

Exhibit 13: Nineteen items to be newly added, eleven items to be removed, and two items consolidated into one

Additional, Discontinued, and Consolidated Items in the 2025 Base Revision

Top 10 Major Categories	Additional Items	Discontinued Items
Food	Salted Mackerel, Grapes, Pineapple, Spices, Gummy Candies, Boxed Lunch C, Takoyaki, Meatballs, Carbonated Beverage B, Gelatin Beverage	Dried Sardines, Pickled Chinese Cabbage, Grapes A, Grapes B
Clothing and Footwear		Women's Obi, Necktie, Women's Stockings
Health and Medical Care	Protein Powder	Health Maintenance Supplements B
Transportation and Communication	Helmet, Car Leasing	
Education	Correspondence Education	
Culture and Recreation	Headphones and Earphones, Certification Examination, Pet Insurance Premiums	Soccer Admission Fee, Video Software Rental Fee
Miscellaneous Expenses	Hair Dryer, Deodorant	Bank Transfer Fee
10 Big categories	Current	New
Food	Low-malt beer	Low-malt beer
	beer-flavored alcoholic beverages	

Source: BofA Global Research, MIAC

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